Stantec Inc.

Strong fundamentals continue to shine through

STN (TSX; NYSE) C$151.20; US $106.94	STOCK RATING	TARGET	EST. TOTAL RETURN
	Outperform (Unchanged)	**C$167.00** (Was C$164.00)	**11.0%**

Q3/25 results - a solid showing

Q3/25 results recap - solid organic growth and +95 bps y/y margin improvement helps lead a +4% beat on EBITDA. 2025E guide maintained with a slight margin bump

Net revenue came in at $1,705 mln (a +12% y/y increase and +5.6% organic expansion), in line with the Street at $1,711 mln (NBCM was at $1,665 mln). Adjusted Headline EBITDA came in at $323 mln (19.0% margin), +4% ahead of the Street at $311 mln (18.2% margin) and NBCM at $307 mln. Margin improvement was driven by stronger SG&A control with SG&A as a % of revenue down -140 bps y/y. Adjusted EPS amounted to $1.53 vs. Street at $1.53 and NBCM at $1.52.

Conference call takeaways - U.S. outlook constructive despite backlog lumpiness; water strength persists; FCF/margins expected to improve further

1) U.S. organic growth expected to accelerate despite flat backlog YTD (but up +7% y/y); **2)** Water business continues to deliver outsized growth across geographies and is currently the strongest vertical; **3)** Data centre exposure growing fast but remains disciplined; **4)** Margin expansion and FCF conversion ahead of plan; structural levers intact.

Valuation and recommendation - resilient end-market demand provides comfort around the persistence of the current infra cycle

Concerns around the sustainability of growth was a hot topic for engineering consulting names going into quarterly reporting, and short-term share price reactions appeared to be driven by an almost knee-jerk reaction to the headline metric. The uncertainty of the recent U.S. government shutdown exacerbated this dynamic, but we think management's commentary (and TTEK's - which is 20% exposed to the U.S. Federal government - print: FQ4/25 results first look - good performance and outlook; will this establish a floor?) of continued positive organic growth in the U.S. and confidence in the backlog should give investors a degree of comfort. Water, infrastructure, and advanced manufacturing remain thematically growing areas, regardless of which way the political winds are blowing, and management's strong execution and clear margin expansion trajectory support continued earnings compounding for the foreseeable future.

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STOCK DATA

52-Week High and Low ($)	160.05-107.23
Dividend per Share ($)	0.90
Dividend Yield (%)	0.6
Shares Outstanding (Mln)	114.1
Shares Outstanding - FD (Mln)	114.1
Market Capitalization ($Mln)	17,246.9
Net Debt ($Mln)	1,637.2
Enterprise Value ($Mln)	18,884.1

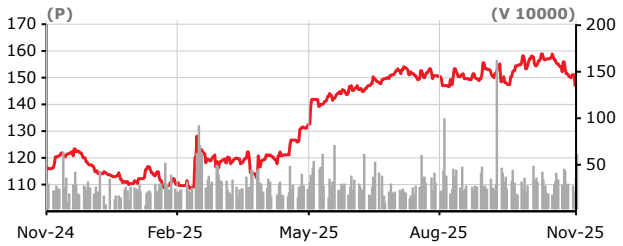
NBCCM ESTIMATES & VALUATION

Fiscal Y/E December	2024A	2025E	2026E
Revenue ($Mln)	5,866.6	6,479.4	7,158.5
EBITDA ($Mln)	986.9	1,136.1	1,274.7
EBITDA (ex.IFRS)	863	994	1,152
EPS - Diluted ($)	4.47	5.34	6.20
EV/EBITDA (x)	21.9	19.0	16.4
P/E (x)	33.8	28.3	24.4

All figures in C$ unless otherwise noted

Source: NBCM, LSEG and Company reports

STOCK PERFORMANCE *(Source: FactSet)*



COMPANY PROFILE

STN is one of the largest engineering and architecture firms in the world (top 10 in design according to ENR; 52% of topline comes from the US; 25% from Canada). M&A is an integral part of the business model.

For required disclosures, please refer to the end of the document.

Bottom line - resilient end-market demand provides comfort around the persistence of the current infra cycle

Concerns around the sustainability of growth was a hot topic for engineering consulting names going into quarterly reporting, and short-term share price reactions appeared to be driven by an almost knee-jerk reaction to the headline metric. The uncertainty of the recent U.S. government shutdown exacerbated this dynamic, but we think management's commentary (and TTEK's – which is 20% exposed to the U.S. Federal government – print: FQ4/25 results first look - good performance and outlook; will this establish a floor?) of continued positive organic growth in the U.S. and confidence in the backlog should give investors a degree of comfort. Water, infrastructure, and advanced manufacturing remain thematically growing areas, regardless of which way the political winds are blowing, and management's strong execution and clear margin expansion trajectory support continued earnings compounding for the foreseeable future. We reiterate our Outperform rating on STN shares and nudge our target price up to $167.00 (from $164.00) on slightly higher forecasts and a one-quarter roll forward of our valuation period (now based 25% on 2025E and 75% on 2026E forecasts, vs. 50/50 prior); our target price is derived using a 17.0x EV/EBITDA multiple on blended 2025E / 2026E forecasts with a 25% probability of large scale M&A.

Figure 1: STN - NAV

EV/EBITDA Multiple (ex. IFRS 16)												Target
($ 000's, except per-share data)		2017A	2018A	2019A	2020A	2021A	2022A	2023A	2024A	2025E	2026E	2025E / 2026E
Adjusted EBITDA	**17.0x**	**$377,932**	**$345,500**	**$431,900**	**$434,900**	**$445,400**	**$570,200**	**$724,900**	**$862,800**	**$994,084**	**$1,152,272**	**$18,916,328**
Minus: Net Debt at Period-End												$607,181
Equity Value												**$18,309,147**
Shares Outstanding												114,067
Net Asset Value (75% Probability)												**$160.51**
STN Pro-Forma Large-Scale M&A Valuation (25% Probability with 15% Accretion vs. Baseline NAV)												**$184.59**
M&A Probability-Weighted Net Asset Value												**$166.53**
Current Share Price												$151.20
Potential Return - All Inclusive (Including Dividends)												**10.7%**

*We apply the multiple to 25% 2025E an 75% to 2026E estimates

Source: NBCM, Company reports, LSEG

Conference call takeaways - U.S. outlook constructive despite backlog lumpiness; water strength persists; FCF/margins expected to improve further

- **U.S. organic growth expected to accelerate despite flat backlog YTD (but up +7% y/y).** Management acknowledged that U.S. backlog has been flat so far in 2025 due to slower procurement cycles and delayed contract signings, but emphasized that this does not signal weakness in forward demand. Aging infrastructure, re-shoring of manufacturing, and mission-critical facilities remain strong structural drivers, and management expects organic growth in the U.S. to resume in 2026 as awarded projects convert to backlog (Q4/25 will be a tougher comp given +10% y/y growth in Q4/24). The near-term optics on backlog should not overshadow the underlying organic demand profile, and investors can expect a return to positive MSD U.S. growth as procurement bottlenecks ease now that the shutdown is lifted. The recent integration of Page is also ahead of schedule, delivering early synergies in the U.S.
- **Water business continues to deliver outsized growth across geographies and is currently the strongest vertical.** Stantec reported double-digit organic growth in water in both Canada and the U.S., with Canada exceeding 20% and the U.S. tracking in the low-teens. Drivers include large public-sector wastewater projects (e.g., Metro Vancouver, Winnipeg biosolids), flood mitigation, PFAS regulation, and advanced manufacturing water needs. Recall TTEK (majority U.S. water-focused) expressed similar end market momentum when it gave its +8% y/y organic growth guide for F2026 this week. Investors should view water as a margin-accretive segment that underpins stability even in a mixed macro backdrop.
- **Data centre exposure growing fast but remains disciplined.** Stantec is working on over 100 data centre and mission-critical projects, representing 2–3% of revenue today and expected to rise toward 4–5% by 2026E. Management stressed that diversification remains a priority and does not intend for data centres to exceed MSD of revenue. This should allow incremental contribution from data centres without concentration risk (a fear some might have given the level of spending we are seeing in the headlines).

- **Margin expansion and FCF conversion ahead of plan; structural levers intact.** Year-to-date adjusted EBITDA margin reached 17.7%, up 100 bps y/y and already at the high end of the 2025 guidance range. Drivers include stronger project margins, SG&A leverage (admin and marketing down 100 bps y/y), and improved utilization. Q3 FCF was outsized versus historical norms, driven by strong collections and structural improvements in DSO (73 vs. prior target of 80). Management expects some normalization in Q4 but full-year FCF will remain well ahead of prior years. Management expects continued margin and FCF improvement into 2026, supported by scale, operational efficiency, and disciplined pricing.

Q3/25 results recap - solid organic growth and +95 bps y/y margin improvement helps lead a +4% beat on EBITDA. 2025E guide maintained with a slight margin bump

Net revenue came in at $1,705 mln (a +12% y/y increase and +5.6% organic expansion), in line with the Street at $1,711 mln (NBCM was at $1,665 mln). Adjusted Headline EBITDA came in at $323 mln (19.0% margin), +4% ahead of the Street at $311 mln (18.2% margin) and NBCM at $307 mln. Margin improvement was driven by stronger SG&A control with SG&A as a % of revenue down -140 bps y/y. Adjusted EPS amounted to $1.53 vs. Street at $1.53 and NBCM at $1.52. Organic growth was led by Canada driven by Water end markets (+20% y/y organically in Canada and +13% y/y consolidated). Contract backlog at the end of the quarter sat at $8.4 bln, a +14.9% increase (+5.6% organic y/y) representing roughly 13 months of work.

Segment granularity:

- **Canada** (24% of revs) — +8% organic expansion (8% total y/y) was driven by double-digit organic performance in wastewater (+20% y/y) and Energy and Resources. Backlog growth was +2% y/y organically.
- **U.S.** (52% of revs) — +5% organic expansion (+14% total growth y/y due to acquisition of Page) was driven by momentum in Buildings (mission-critical, science and technology) plus double-digit growth in Water due to wastewater treatment. Backlog growth was +7% y/y organically (+21% total y/y) driven again by Water and Buildings.
- **Global** (24% of revs) — +6% organic expansion (+11% total growth y/y) was driven by double-digit organic growth in Water across UK, AU and NZ, as well as double-digit growth in Energy (in Chile and Peru driven by the demand for copper mining). It was also welcome to see double-digit growth in the German Infrastructure business (Zetcon) due to major public sector stimulus for Infrastructure and Transit. Backlog growth was +7% y/y organically (+12% y/y).

Net Debt to adjusted LTM EBITDA stood at 1.5x times (flat y/y). FCF (ex lease payments) for the quarter came in at $261 mln vs. $112 mln in Q3/24, partly attributable to higher net income as well as positive working capital swing of $9 mln vs. -$61 mln in Q3/24. Also helping cash generation was DSO dropping to 73 days vs. 80 days in Q3/24.

Figure 2: STN - Q3/25 Results Highlights

($ 000's, except EPS figures)		NBCM		Y/Y	Actual vs.	
	Q3/25A	Q3/25E	Q3/24A	Growth	Estimates	Comments
Net Revenue	**$1,705,400**	**$1,664,869**	**$1,524,800**	11.8%	2.4%	**Consensus: $1,711mln**
Adjusted EBITDA	**$323,400**	**$307,073**	**$274,600**	17.8%	5.3%	**Consensus: $311 mln**
Adjusted EBITDA Margin	*19.0%*	*18.4%*	*18.0%*	*95 bps*	*52 bps*	+10 bps project margin & -140 bps SG&A % of revenue y/y
Legacy Adjusted EBITDA (ex. IFRS 16)	**$282,600**	**$276,473**	**$242,700**	16.4%	2.2%	
Legacy Adjusted EBITDA Margin	*16.6%*	*16.6%*	*15.9%*	*65 bps*	*-4 bps*	Subtracting Lease Payments (up +28% y/y)
Adjusted Diluted EPS	**$1.53**	**$1.52**	**$1.30**	17.7%	0.8%	**Consensus: $1.53**

Source: NBCM, Company reports, LSEG

Change in estimates - mirroring updated guidance; mechanical fine-tuning for 2026E

For Q4/25E, we moderated our revenue growth on tougher comps, but increased margins to reflect recent productivity and execution driven progress. Full-year numbers remain closely aligned with management's updated guidance, with margins near the top end. We expect a similar cadence of top-line growth for 2026E with continued margin expansion. Lastly, we updated our lease, depreciation, and interest expenses to align with current run-rate trends.

Figure 3: STN - change in estimates

			Y/Y Revenue Growth	
			10.4%	*10.5%*
($ 000's, except for EPS figures)	Q3/25A	Q4/25E	2025E	2026E
Net Revenue	**$1,705,400**	**$1,624,274**	**$6,479,374**	**$7,158,546**
Prior Net Revenue	$1,664,869	$1,704,257	$6,518,826	$7,217,251
Adjusted EBITDA	**$323,400**	**$275,984**	**$1,136,084**	**$1,274,672**
Prior Adjusted EBITDA	$307,073	$281,543	$1,125,317	$1,262,173
Adjusted EBITDA Margin	**19.0%**	**17.0%**	**17.5%**	**17.8%**
Prior Adjusted EBITDA Margin	18.4%	16.5%	17.3%	17.5%
Adjusted Diluted EPS	**$1.53**	**$1.29**	**$5.34**	**$6.20**
Prior Adjusted Diluted EPS	$1.52	$1.33	$5.36	$6.26
Legacy Adjusted EBITDA (ex. IFRS 16)	**$282,600**	**$245,384**	**$994,084**	**$1,152,272**
Prior Legacy Adjusted EBITDA	$276,473	$250,943	$993,517	$1,139,773
Legacy Adjusted EBITDA Margin	**16.6%**	**15.1%**	**15.3%**	**16.1%**
Prior Legacy Adjusted EBITDA Margin	16.6%	14.7%	15.2%	15.8%

Source: NBCM, Company reports

Comps

Table 1: E&C Comps

Canadian Comps	Ticker	Rating	Trading Currency	Local Price	Target Price	Dividend Annual	Dividend Yield	Total Return	% Off 52-wk High	Market Cap ($ mln)	EPS 2025E	EPS 2026E	P/E 2025E	P/E 2026E	EBITDA ($ mln) 2025E	EBITDA ($ mln) 2026E	EV/EBITDA 2025E	EV/EBITDA 2026E
WSP Global Inc	WSP.TO	OP	CAD	$253.61	$299.00	$1.50	0.6%	18%	-13%	$33,113	$9.61	$10.88	26.4x	23.3x	$2,173	$2,415	16.9x	15.2x
Stantec Inc	STN.TO	OP	CAD	$151.20	$167.00	$0.90	0.6%	11%	-6%	$17,247	$5.34	$6.20	28.3x	24.4x	$994	$1,152	19.0x	16.4x
Atkinsrealis Group Inc	ATRL.TO	SP	CAD	$91.37	$102.00	$0.08	0.1%	12%	-14%	$15,144	$3.50	$4.10	26.5x	21.8x	$951	$1,068	15.8x	13.8x
Aecon Group Inc	ARE.TO	OP	CAD	$26.29	$35.00	$0.76	2.9%	36%	-25%	$1,663	$0.25	$1.77	76.8x	13.1x	$162	$293	13.8x	7.3x
Bird Construction Inc	BDT.TO	OP	CAD	$25.48	$34.00	$0.84	3.3%	37%	-20%	$1,411	$2.00	$2.62	12.7x	9.7x	$183	$236	9.0x	7.0x
North American Construction Group Ltd	NOA.TO	OP	CAD	$19.09	$26.00	$0.48	2.5%	39%	-40%	$616	$1.95	$2.23	9.8x	8.6x	$379	$385	3.6x	3.5x
Median							**2.7%**	**36%**	**-22%**				**19.6x**	**11.4x**			**11.4x**	**7.2x**
U.S. Comps																		
Jacobs Solutions Inc	J	NR	USD	$150.98	NA	$1.13	0.7%	NA	-10%	$18,048	$6.06	$7.03	24.9x	21.5x	$1,202	$1,356	17.0x	15.1x
AECOM	ACM	OP	USD	$132.36	$151.00	$1.04	0.8%	15%	-2%	$17,614	$5.21	$5.69	25.4x	23.2x	$1,199	$1,303	15.3x	14.1x
Tetra Tech Inc	TTEK.O	OP	USD	$36.41	$41.00	$0.26	0.7%	12%	-18%	$9,621	$1.56	$1.51	23.3x	24.1x	$662	$630	15.4x	16.2x
Fluor Corp	FLR	NR	USD	$42.73	NA	$0.00	0.0%	NA	-26%	$6,887	$2.19	$2.37	19.5x	18.0x	$520	$538	10.0x	9.7x
KBR Inc	KBR	NR	USD	$41.72	NA	$0.60	1.4%	NA	-40%	$5,298	$3.84	$4.14	10.9x	10.1x	$972	$1,007	7.7x	7.4x
Tutor Perini Corp	TPC	NR	USD	$59.28	NA	$0.00	0.0%	NA	-23%	$3,127	$2.25	$4.17	26.3x	14.2x	$314	$484	9.3x	6.0x
Median							**0.7%**		**-21%**				**24.1x**	**19.8x**			**12.7x**	**11.9x**
International Comps																		
Sweco AB (publ)	SWECb.ST	NR	SEK	$161.30	NA	$3.30	2.0%	NA	-18%	$58,592	$6.35	$7.24	25.4x	22.3x	$4,104	$4,522	16.2x	14.7x
Arcadis NV	ARDS.AS	NR	EUR	$36.28	NA	$0.85	2.3%	NA	-44%	$3,281	$3.01	$3.64	12.1x	10.0x	$530	$599	8.3x	7.3x
Worley Ltd	WOR.AX	NR	AUD	$13.77	NA	$0.50	3.6%	NA	-13%	$7,046	$0.84	$0.93	16.4x	14.8x	$1,009	$1,056	8.5x	8.1x
Acciona SA	ANA.MC	NR	EUR	$182.50	NA	$5.28	2.9%	NA	-10%	$10,011	$13.76	$8.45	13.3x	21.6x	$2,816	$2,590	nmf	nmf
Saipem SpA	SPMI.MI	NR	EUR	$2.28	NA	$0.17	7.5%	NA	-19%	$4,548	$0.18	$0.26	13.0x	8.8x	$1,677	$1,865	nmf	nmf
Sacyr SA	SCYR.MC	NR	EUR	$3.74	NA	$0.00	0.0%	NA	-6%	$2,977	$0.18	$0.23	20.9x	16.1x	$1,392	$1,401	nmf	nmf
Balfour Beatty PLC	BALF.L	NR	GBP	$6.60	NA	$0.12	1.8%	NA	-4%	$3,255	$0.43	$0.49	15.2x	13.5x	$388	$392	6.7x	6.6x
Tecnicas Reunidas SA	TRE.MC	NR	EUR	$30.30	NA	$0.00	0.0%	NA	-7%	$2,433	$1.93	$2.55	15.7x	11.9x	$308	$362	nmf	nmf
Median							**2.2%**		**-12%**				**15.5x**	**14.2x**			**8.4x**	**7.7x**

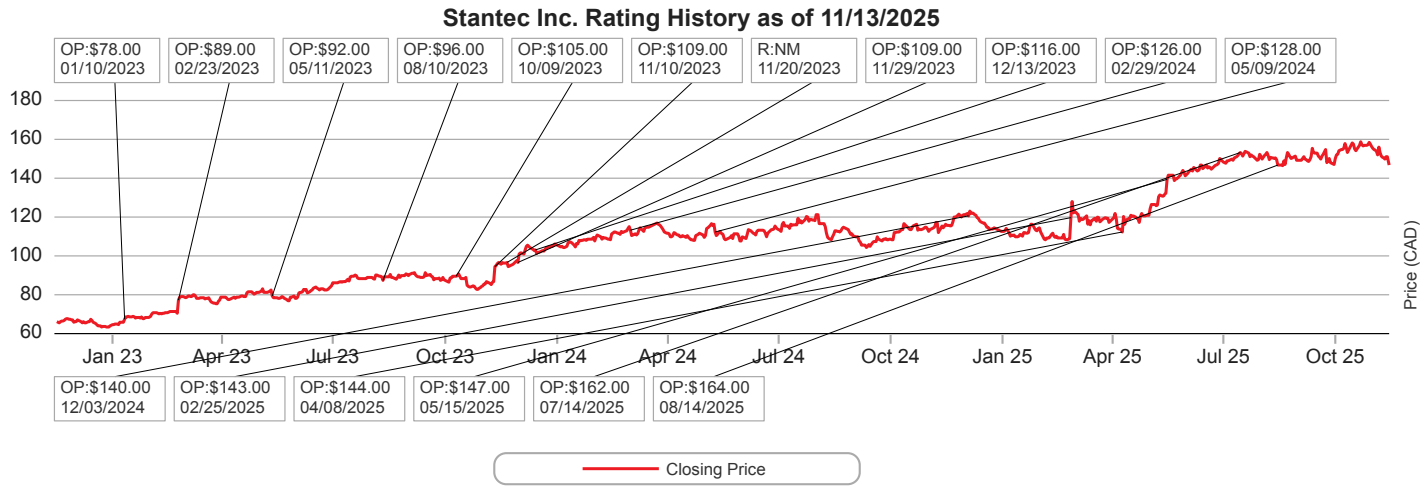
Source: NBCM, Company reports, LSEG

** Note that AtkinsRéalis and Aecon estimates are comped ex-concessions and Bermuda, respectively.*

*** Canadian EBITDA estimates and multiples are based on ex-IFRS 16 (subtract lease payments) for an apples-to-apples comparison with US peers.*

Disclosures

PRICE, RATING AND TARGET HISTORY:I = Initiation, OP = Outperform, SP = Sector Perform, UP = Underperform, UR = Under Review, R = Restricted; T = Tender (Source: Factset, NBF)



RISKS:

Commodity exposure: Oil price volatility could have a negative impact on Stantec's energy-related business (we estimate direct/indirect exposure to be around 9% of consolidated top line).

U.S. economic slowdown: Stantec has 50%+ exposure to the United States; a slowdown in U.S. GDP or state and local tax receipts could hamper Stantec's potential project pipeline.

Wage inflation: Continued low employment rate and potential wage inflation could negatively impact Stantec's cost structure.

ADDITIONAL COMPANY RELATED DISCLOSURES

Stantec Inc. 2, 3, 4, 6, 7
AECOM
Aecon Group Inc.
AtkinsRéalis Group Inc. 10, 13, 14, 1001
Bird Construction Inc. 9
North American Construction Group Ltd.
Tetra Tech Inc.
WSP Global Inc. 13, 1010

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	Outperform	Sector Perform	Underperform
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% of Rating with Investment Banking Relationship	77%	79%	100%

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